

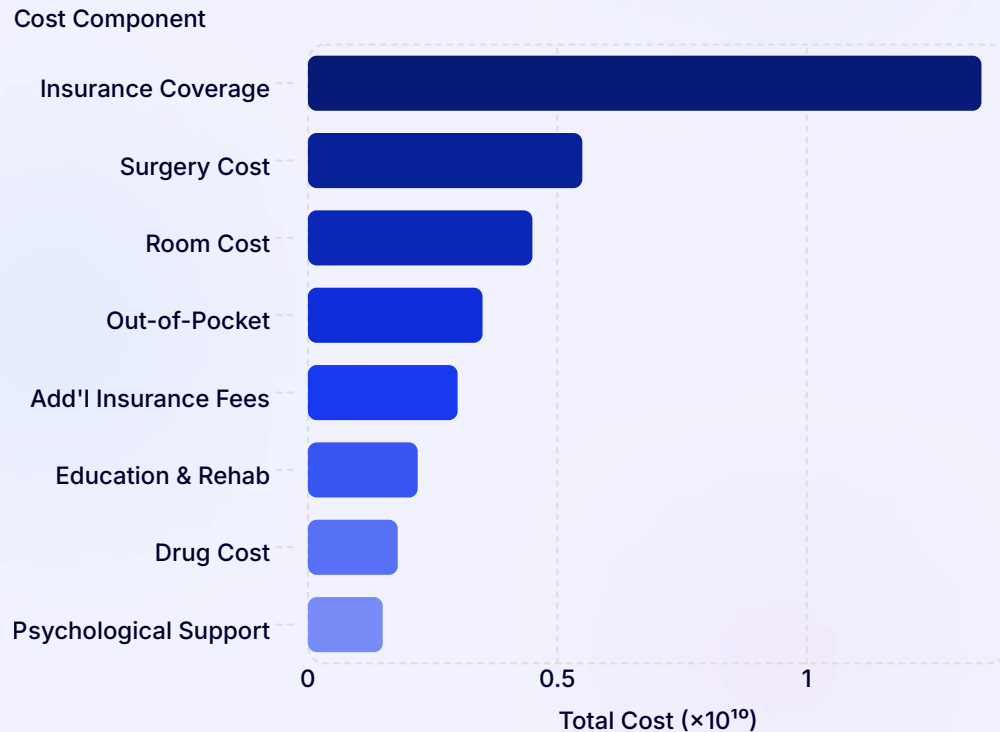
Hospital Financial Performance Analysis

Executive Summary

An in-depth review of the hospital's 2024 financial performance, covering revenue concentration, patient segment trends, cost structure, and growth opportunities.

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Hospital Cost Component Breakdown

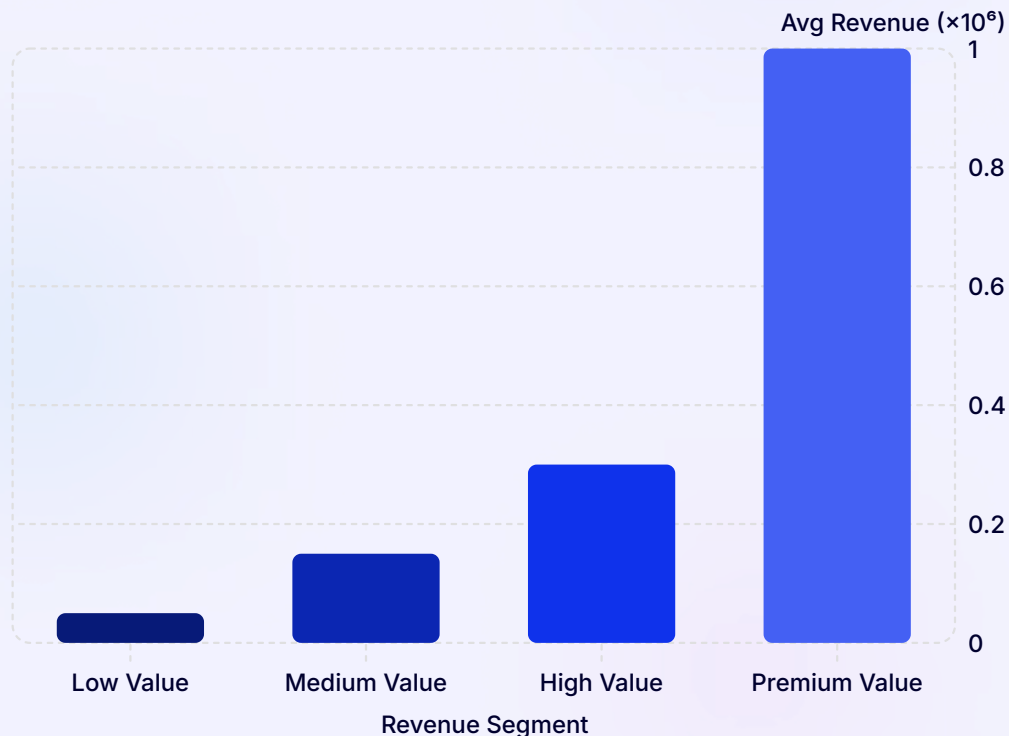


Key Takeaways

- Insurance coverage dominates at 42% of total costs, creating a clear payer concentration risk.
- Surgery and room costs remain the core of the inpatient model. Together, they reinforce the hospital's high-acuity operating mix.

Action: Rehabilitation and psychological support are still underdeveloped. They offer the clearest growth upside within the current cost structure.

Revenue by Patient Segment

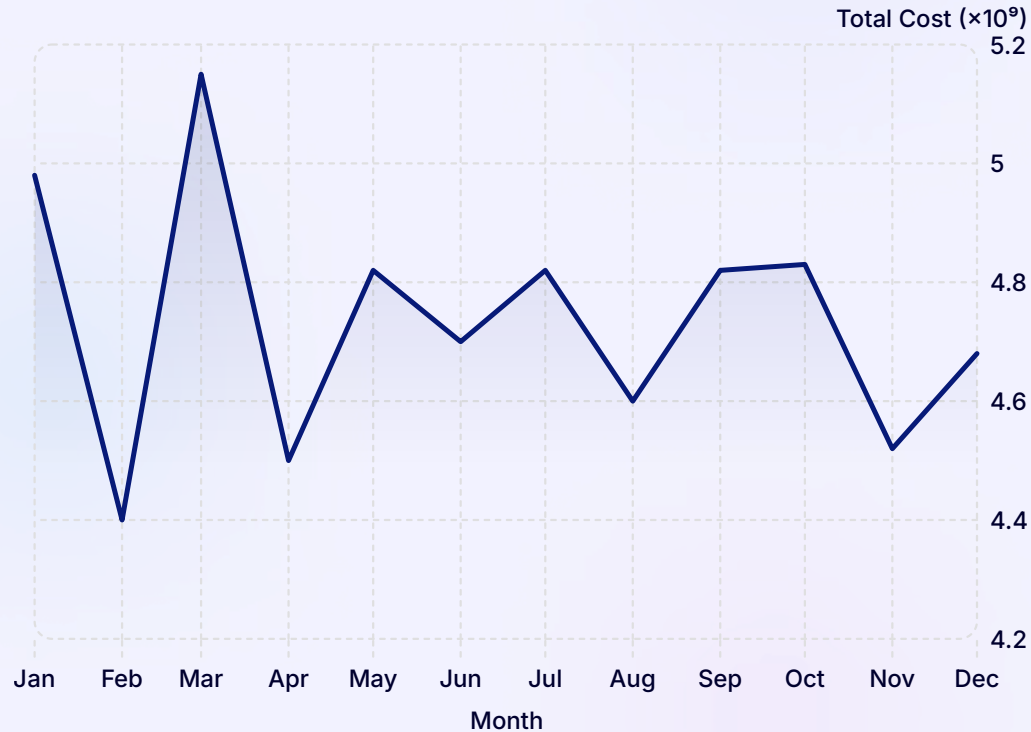


Key Takeaways

- Premium Value generates **20x** more than Low Value and **3.3x** more than High Value.
- Low Value and Medium Value contribute just **0.05x10⁶** and **0.15x10⁶**, or only **5%** and **15%** of Premium Value, respectively.
- Revenue is concentrated in Premium and High Value patients at **1.3x10⁶** combined, representing **86.7%** of the four-segment total.

Action: Develop retention and upsell programs targeting Premium and High Value patient segments.

Monthly Revenue Trend — 2024

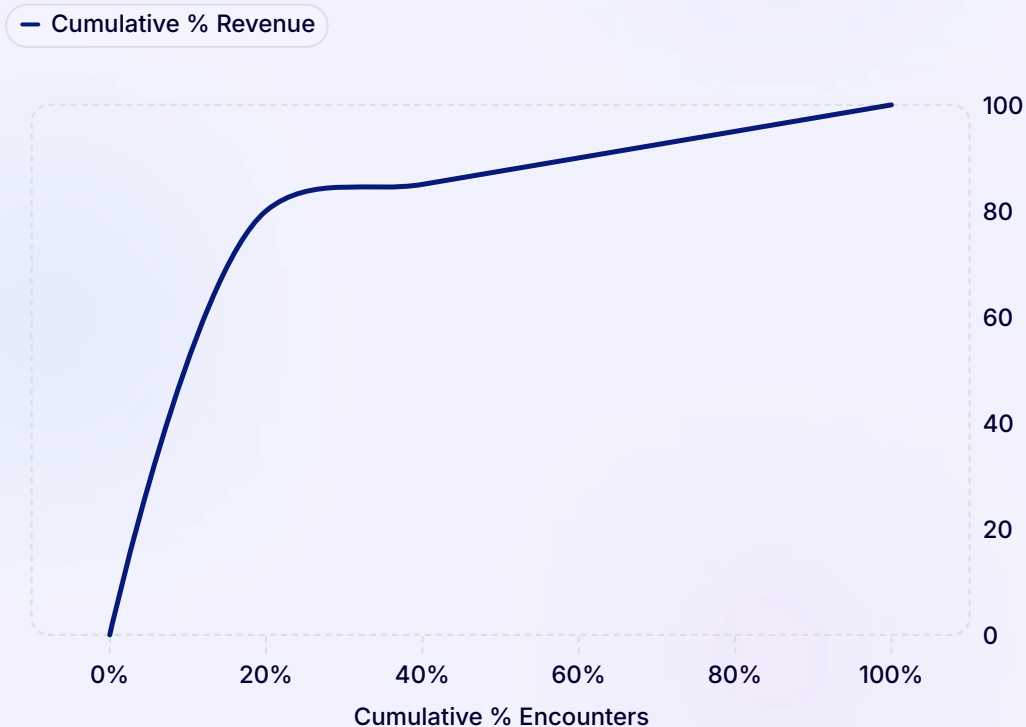


Quick Takeaways

- Revenue peaked in March at 5.15.
- Revenue hit a trough in February at 4.4.
- The variance between peak and trough was 0.75.
- Revenue was relatively stable after March, clustering mostly between 4.5 and 4.83 for the rest of the year.
- Q1 showed the widest swing, while Q4 was more consistent despite ending below the March high.

Action: Set a monthly revenue-stabilization target to keep each month between 4.6 and 4.9, and trigger a review whenever revenue falls below 4.5 or rises above 5.0 to reduce volatility in Q1 and prevent repeat dips like February.

Pareto Analysis: 80/20 Revenue Rule

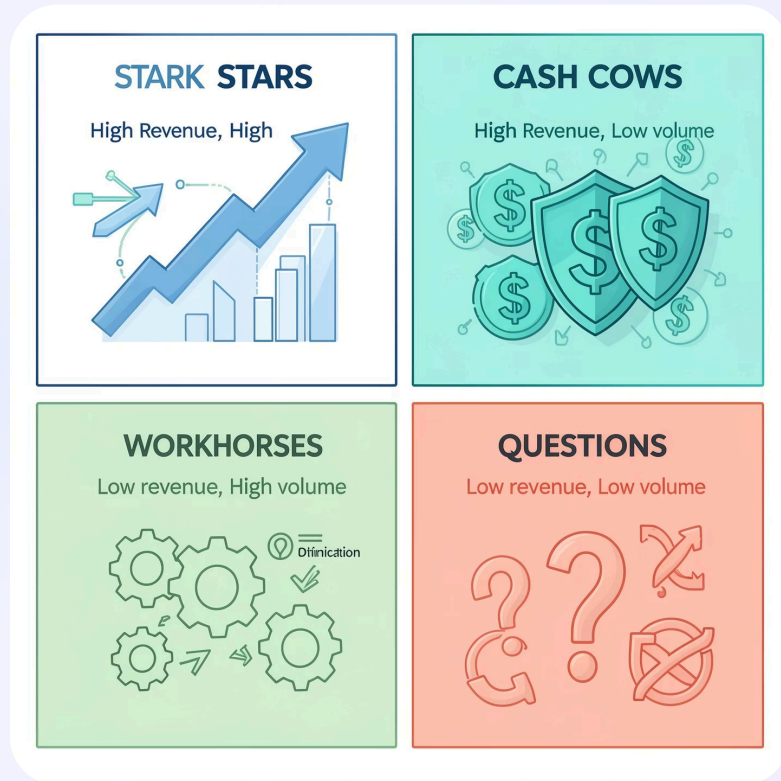


Highly Concentrated Revenue

- The top **20% of patient encounters** generate **80% of total revenue**, confirming a classic Pareto pattern.
- This creates a **high concentration risk**, with revenue heavily dependent on a small set of high-value services.
- **Strategic implication:** broaden lower-acuity volume and diversify specialties to reduce dependence on the top revenue drivers.

Action: Develop a diversification roadmap to broaden lower-acuity volume and reduce top-20% dependency.

Disease Strategic Portfolio Matrix

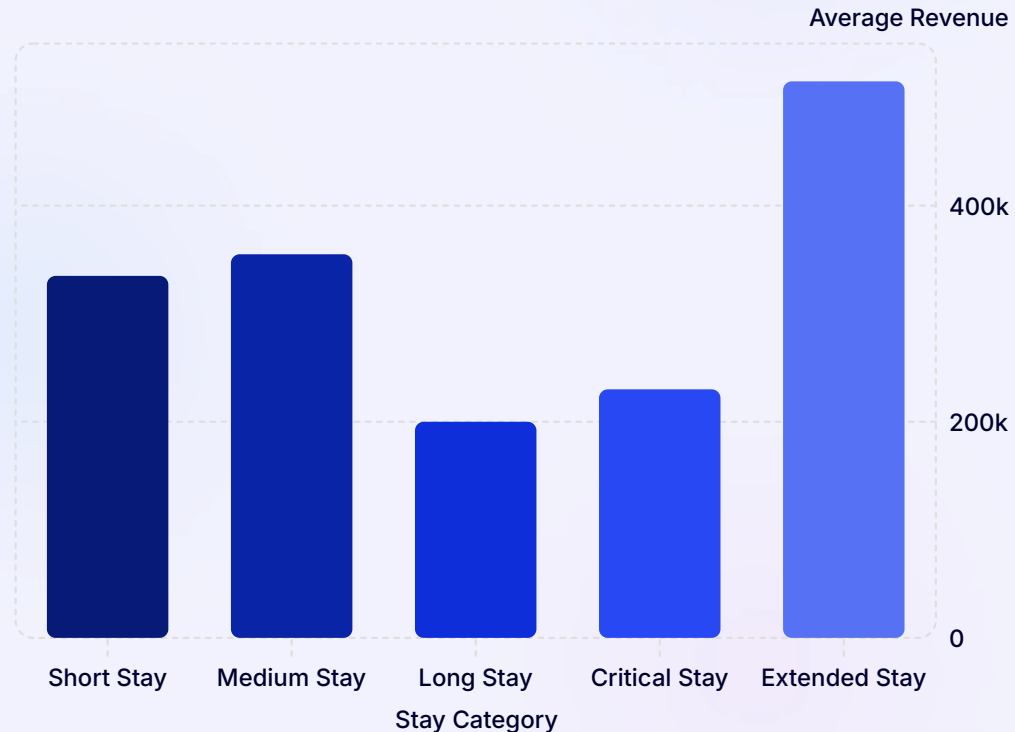


Volume vs. Profitability

- The matrix shows the split between **high-volume operational drivers** and **high-revenue profitability drivers**.
- The most important quadrants are **Stars**, **Cash Cows**, and **Workhorses**.
- **Strategic action:** invest in high-margin segments while improving efficiency in high-volume categories.

Action: Allocate capital and staffing to Stars and Cash Cows while optimizing Workhorses for efficiency.

Revenue by Stay Duration

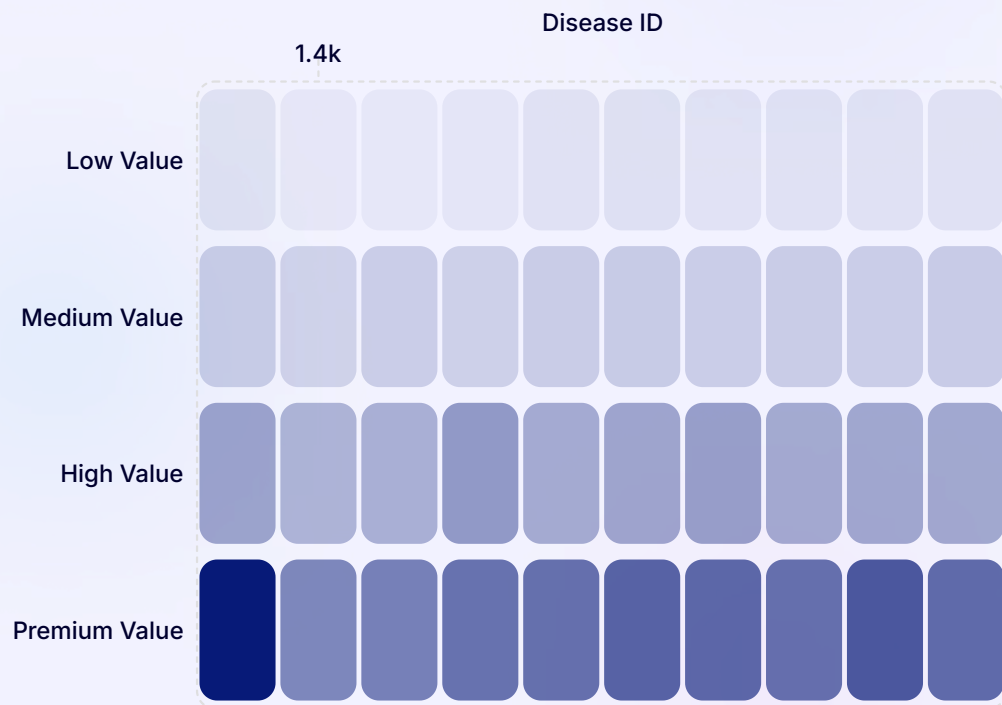


Most Profitable Stays

- **Extended Stay** generates the highest average revenue at 515,000, compared with **Long Stay** at 200,000.
- **Medium Stay** delivers 355,000 and **Short Stay** delivers 335,000, making them the next strongest revenue contributors.
- **Strategy:** reduce avoidable length of stay by improving discharge planning and throughput, especially in lower-revenue stays like **Critical Stay** at 230,000.

Action: Implement discharge planning protocols to optimize stay duration and maximize revenue per bed.

Revenue Concentration Heatmap

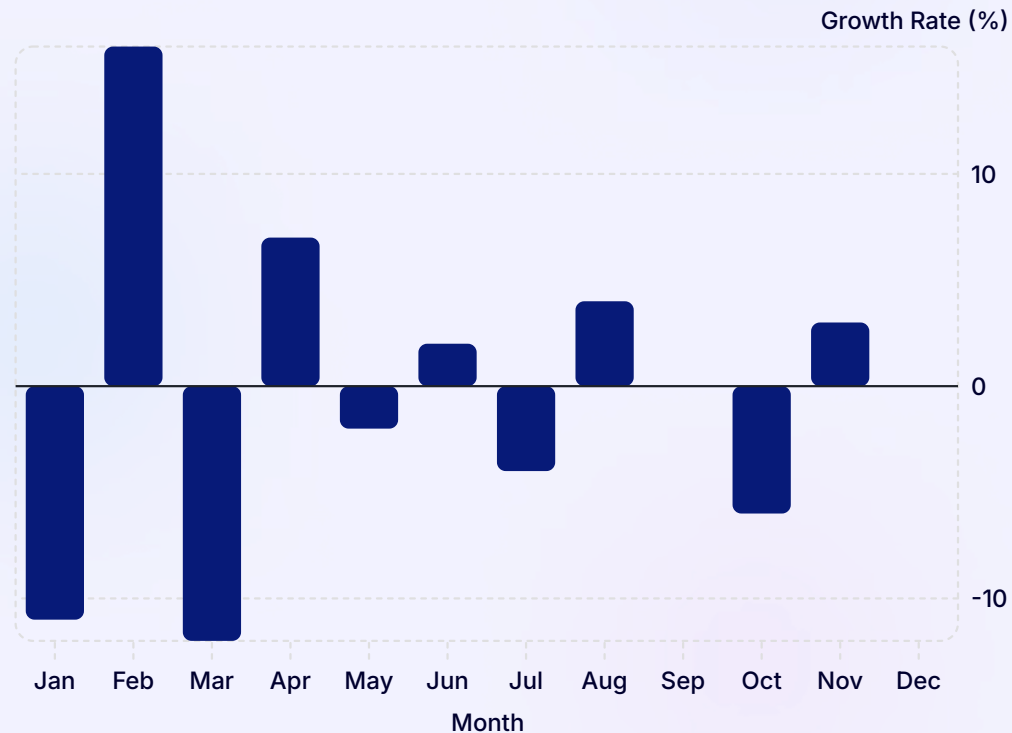


Premium Segments Dominate All Disease Categories

- Premium patients consistently generate the most revenue across every disease category.
- The top 3 disease IDs drive concentration risk because they capture a disproportionate share of premium revenue.
- Rebalance by shifting more specialist capacity toward mid-tier disease categories while reducing dependence on the top performers.

Action: Rebalance disease portfolio to reduce top-3 concentration and build mid-tier disease capacity.

Month-on-Month Revenue Growth



Key Takeaways

- Growth peaked at **16%** in February, marking the strongest month in the year.
- The sharpest decline came in March at **-12%**, highlighting the biggest pullback.
- The overall volatility range was **28%**, underscoring an uneven growth pattern.

Action: Stabilize growth trajectory by identifying and addressing root causes of monthly volatility.

Strategic Recommendations



Reduce Insurance Dependency

Improve claim-cycle efficiency and reimbursement tracking to lower payer risk.



Invest in Surgical Specialties

Top 20% of encounters drive 80% of revenue – protect high-value service lines.



Build Predictive Analytics

Use correlation insights for forecasting, staffing, and strategic budgeting.



Diversify Revenue Sources

Expand rehabilitation, post-treatment support, and medium/low-segment efficiency programs.